

"31⅝" and Orton got up, said his good-byes, and took the computer printout with him. A replacement I'll call Graham was sent in to continue the discussion. Graham proceeded to give me an example of why risk arbitrage was a tricky business, and too complicated for an amateur.

He told a long story about what happened to the stock of Anderson Clayton, a company that recently was "in play," which is what arbs call it when they're interested. The family owners of Anderson Clayton had wanted to sell, and there were several factions bidding for control, which made the stock a perfect candidate for risk arbitrage. For Z. B. Troutman, buying the stock was the least of it. They sent lawyers to file suits against certain rival bidders, they hired appraisers to evaluate the stock, they analyzed trading patterns, they listened for gossip about who was doing what, and after all was said and done, they still didn't really know what was happening. The entire effort resulted in a profit of \$9 per share, from their having bought the stock at \$56 and sold at \$65.

Graham's point was that you couldn't just expect to buy a stock and wait for it to go up. You had to get involved, and even at that there were no guarantees.

After Graham finished with his story, one of his colleagues popped his head in the door with an exciting bit of news. He'd just gotten off an airplane, where he overheard a woman in a nearby seat telling somebody that Holiday Inn was going to be taken over. He'd just checked the Quotron, and sure enough, Holiday Inn stock was up six points. This caused a great flurry around the trading desk, and Graham quickly terminated our conversation. He showed me to the door.

As much as Graham's speech about the complexities of the Anderson Clayton deal should have impressed me with the sophistication of risk arbitrage, it was undercut by the Holiday Inn incident, from which I concluded that these well-informed professionals listened to the same airplane gossip that you or I might overhear, and acted on it in the same way.

Here also was a great opportunity for me. From the jubilant commotion that followed the Holiday Inn gossip, it seemed certain that Z. B. Troutman would take a major position in the stock. I